

Noble Corporation (Oilfield Svcs/Equipment, NYSE, NE)

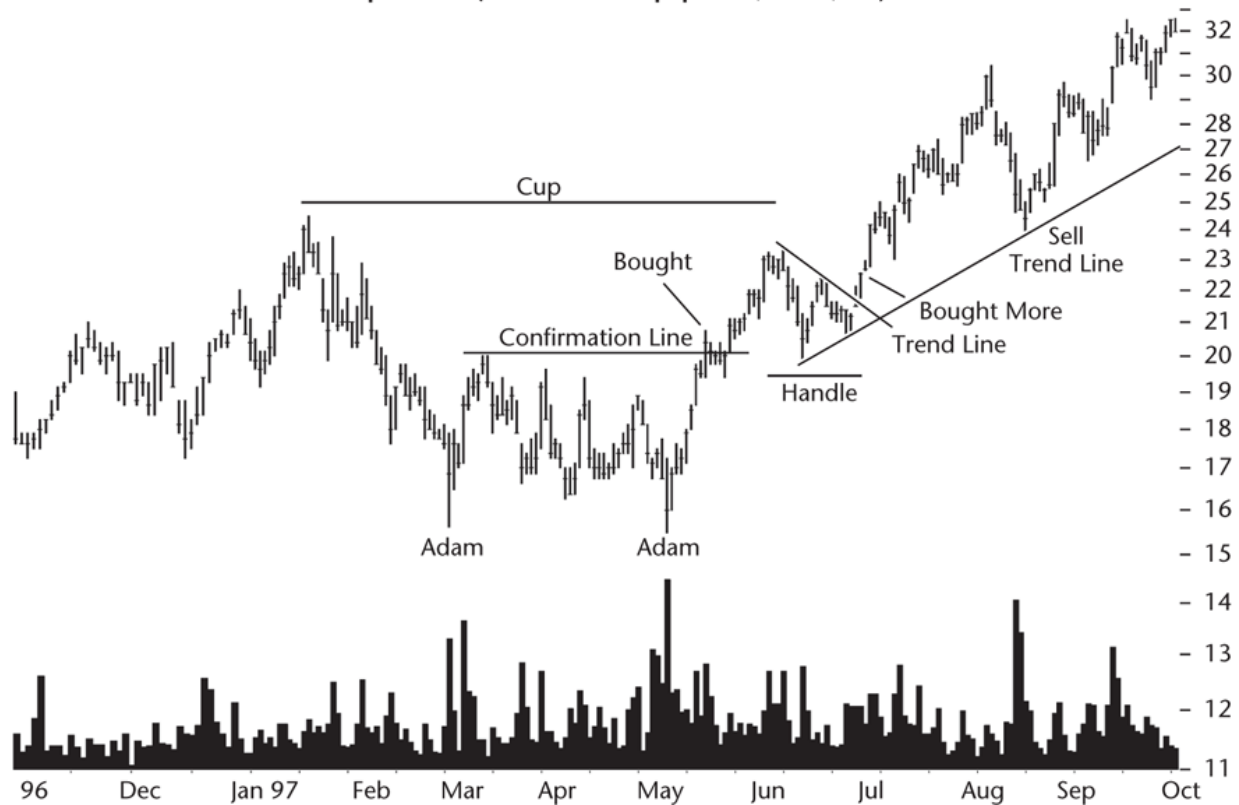


Figure 26.6 Randy traded this Adam & Adam double bottom, buying at the confirmation price, buying again when price closed above the cup-with-handle trendline, and selling when price closed below the long, up-sloping sell trendline.

He computed the target price for the double bottom (24.50, see the “Measure rule” in [Table 26.10](#)) and smiled when price passed that, moving up. Then, he drew an up-sloping trendline following the contours of the handle (called the “Sell Trendline” in [Figure 26.6](#)).

“I vowed to sell the day after price closed below the trendline, which it did in late November [not shown], at 32.” That was down considerably from the high at 38.19, but he made 60% on his first trade and 41% on the cup-with-handle trade.